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Agenda: Assessing the
Need for Universal Basic Income

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Agenda: Assessing the Need for Universal Basic Income

COMMITTEE OVERVIEW

The Second Committee of the United Nations General Assembly (Economic and Financial Committee), or ECOFIN, is responsible for macroeconomic policy, operational activities and financing for development, groups of countries in special situations, globalisation and interdependence, eradication of poverty, sustainable development, information and communication technologies for development, agriculture development, food security and nutrition, human settlements and sustainable urban development.¹ It also considers the issue of global partnership on a biennial basis. It also works on revitalising the work of the General Assembly and Programme planning.²

Ecofin is composed of 193 UN member states. The committee meets annually, usually in early October and extends till late November to mid-December at the United Nations headquarters in New York.³

The agenda concerns Universal Basic Income (UBI), a social welfare program with minimal to no conditions for the residents of the city, state or country. ECOFIN assesses policies such as UBI by examining its funding sources to determine its

financial viability, thus ensuring that its income support mechanism can reach across the general population.⁴

BACKGROUND

What is UBI?

Universal Basic Income (UBI) is the idea of a government program in which every adult citizen receives a certain amount of money every set number of days. The intention of UBI revolves around the need to ease and mitigate poverty and act as a substitute for specific need-based social programs that require greater governmental involvement.⁵

UBI can vary based on several factors, including the level of payment, the frequency of payment, relevant policies and the funding proposal. Universal Basic Income was originally a utopian proposal, however, after experimentation by countries such as Kenya, Finland, Canada and India, the idea of such a program has been challenged.

The defining characteristics of UBI are frequency, unconditionality, universality, and individuality.

¹Review conference of states parties to the ... - undocs.org.
<https://undocs.org/pdf?symbol=en%2FCCM%2FCONF%2F2020%2FPM.1%2FMISC.1>

²United Nations.
<https://docs.un.org/en/A/C.2/76/1>

³The GA handbook - A practical guide to the United Nations https://www.eda.admin.ch/dam/mission-new-york/en/documents/UN_GA_Final.pdf

⁴Prady, M. F. and D., MAURA FRANCESE is a senior economist in the IMF's Fiscal Affairs Department..., & DELPHINE PRADY is an economist in the IMF's Fiscal Affairs Department. What is universal basic income? – IMF finance & development magazine: IMF. <https://www.imf.org/en/Publications/fandd/issues/2018/12/what-is-universal-basic-income-basics>

⁵Peters, K. (2024, July 10). What is Universal Basic Income (UBI), and how does it work? Investopedia.
<https://www.investopedia.com/terms/b/basic-income.asp#toc-understanding-universal-basic-income-ubi>

Frequency refers to the program being a regular initiative rather than a one-time grant. Unconditionality refers to the payment being accessible to everyone, regardless of employment status. Universality refers to the idea that the income is paid to all and not aimed at a specific population. Individualism refers to the income being paid on an individual basis, as opposed to a household-based system. Form of distribution is also an important aspect of UBI, for example, if the income should be paid by cash or tax credit. Scholars and researchers have proposed several forms of UBI, depending on various combinations of these key characteristics.⁶

Even though UBI helps save administrative costs and increase the transparency of transfer systems, they come at a great fiscal cost. This is further accentuated by the fact that middle and high-income households do not need income support. However, they still receive benefits. Sceptics argue that the presence of UBI discourages a healthy work ethic and diverts resources that could rather be spent on priorities such as healthcare and education.

Historical Overview

As we explored the concept of Universal Basic Income (UBI) and its meaning, projecting this knowledge in the historical context is the next step to comprehensively absorb the nature of the current socio-political discussions surrounding it. UBI is usually associated with progressivism and modernity, and that holds true to a certain extent. However, we can still see instances of UBI (or variants thereof) being practised in some ancient civilisations, highlighting the basic provenance and nature of the idea.

Ancient Rome experienced a taste of UBI. Rome utilised a policy known as the Grain Dole of Cura Annonae, which was a grain distribution system. In this system, the government would purchase grain at market price and sell it at a subsidised rate to enrolled citizens, ensuring universal access to food. Such policies, while not identical to the concept of a UBI, were predicated on the same fundamental precept- using monetary instruments to provide for the poor and thereby helping maintain social order. Such policies may today be referred to as 'Populist'.⁷ Some writers even trace the roots of UBI to ancient Athens, where city-owned mine revenues funded small cash distributions to Athenian citizens.

The contemporary definition of UBI, however, requires grants to be in cash. Since ancient economies were not fully cash-based, they lacked a direct equivalent of modern UBI. However, these historical practices reveal that the values underlying today's UBI movement have been known and applied for centuries. After the Renaissance, Humanist and Utopian ideals shaped views on poverty and justice. In Utopia (1516), Thomas More argued that instead of punishing a starving thief, society should ensure livelihoods to prevent crime. Later, Thomas Paine's Agrarian Justice proposed a state-controlled fund for social security and youth support.

In the 19th century, as the Industrial Revolution set in, there were concerns over job prospects. Joseph Charlier, a Belgian Utopian Socialist, revived the UBI concept in 1848, proposing the socialisation of rent to fund it. The great Mathematicians and philosophers Bertrand Russell and Virginia Woolf praised the concept

⁶ Lab, S. B. I. (n.d.). What is UBI | Stanford Basic Income Lab. The Stanford Basic Income Lab
<https://basicincome.stanford.edu/about/what-is-ubi/>

⁷ Volenik, A., & Fey, T. Rome had a universal basic income? here's what you need to know. UBI Advocates.
<https://ubiadvocates.org/rome-universal-basic-income/>

while many economists and political philosophers, including Nobel laureate James Meade, Juliet Rhys-Williams, Abba Lerner, Oskar Lange, and G. D. H. Cole, explored the idea under terms like "social dividend."^{8 9}

By the early to mid-1960s, UBI began gaining traction through various movements in the U.S. and Canada. Feminists and civil & welfare rights activists, including Martin Luther King Jr., pushed for a more dignified option to replace conditional welfare programs. American President Richard Nixon even put forward a Family Assistance Plan that drew inspiration from such ideas. Several Nobel Prize-winning economists, like James Tobin, James Meade, Herbert Simon, James Buchanan, and Milton Friedman, argued that guaranteed income would prove to be a much more effective method of fighting poverty than the policies in place at the time. The Reagan-Thatcher years brought changes to the political scene, pushing UBI to the far left. However, the concept has returned to mainstream political debates.¹⁰

UBI's diverse history means it gets backing from different ideological camps. Those on the left see it as a way to tackle poverty and inequality. Right-wing supporters point out how it could streamline welfare. It should be noted that although the libertarian economist Milton Friedman didn't push for UBI, he put forward a Negative Income

Tax (NIT) idea in his 1962 book *Capitalism and Freedom*.¹¹ His idea suggested that instead of giving everyone a fixed amount, those earning below a certain threshold would receive direct cash transfers through the tax system.

The COVID-19 pandemic further intensified the debate as financial hardship and unemployment soared globally. In April 2020, Spain announced plans to implement a basic monthly income for about a million of its poorest families to support them during the crisis. Recent pilot programs and case studies will be delved into later in this guide.¹²

Today, UBI is actively explored as a policy response to pressing challenges such as AI-driven job displacement, rising income inequality, and declining birth rates.

SDGS

According to the United Nations Department for Economic and Sustainable Development, The 2030 Agenda for Sustainable Development, adopted by all United Nations Member States in 2015, provides a shared blueprint for peace and prosperity for people and the planet, now and into the future. At its heart are the 17 Sustainable Development Goals (SDGs), which are an urgent call for action by all countries - developed and developing - in a global partnership. The Division for Sustainable Development Goals (DSDG) in the United Nations Department of Economic and

⁸ The MIT Press Reader. *The deep and enduring history of universal basic income*. <https://thereader.mitpress.mit.edu/the-deep-and-enduring-history-of-universal-basic-income/#:~:text=Joseph%20Charlier%2C%20a%20Belgian%20utopian,persistent%20poverty%20despite%20economic%20progress>

⁹ Heaven, D. *Universal basic income*. BBC News. <https://www.bbc.com/worklife/article/20190719-universal-basic-income>

¹⁰ Floyd, D. *The long, Weird history of universal basic income-and why it's back*. Investopedia. <https://www.investopedia.com/news/history-of-universal-basic-income/>

¹¹ Financial Times. *Universal basic income: Renaissance for a 500-year-old idea*. Financial Times. <https://www.ft.com/content/3b7938e6-c569-11e7-b30e-a7c1c7c13aab>

¹² Arnold, C. *Pandemic speeds largest test yet of universal basic income*. Nature News. <https://www.nature.com/articles/d41586-020-01993-3>

Social Affairs (UNDESA) provides substantive support and capacity-building for the SDGs and their related thematic issues, including water, energy, climate, oceans, urbanisation, transport, science and technology, the Global Sustainable Development Report (GSDR), partnerships and Small Island Developing States.

The 17 SDGs are integrated. They recognise that action in one area will affect outcomes in others and that development must balance social, economic, and environmental sustainability. Universal Basic Income affects many of the SDGs, both directly and indirectly.

Goal 1- End poverty in all its forms everywhere: According to a United Nations report from 31 October 2024, it is more reason to institute a modest UBI even in the poorest countries, if nothing else, as a means of keeping populations out of precarity. As poverty is rapidly on a global rise, the need to provide a basic income to all citizens grows. The aim of Universal Basic Income is to ensure that financial support is brought to all individuals to ensure a minimum standard of living and reduce extreme poverty.

Goal 2 - Zero Hunger: The world is back at hunger levels not seen since 2005, and food prices remain higher than ever. Along with conflict, climate shocks, and rising cost of living, civil insecurity and declining food production have all contributed to food scarcity and high food prices. A stable income will bring better nutrition and food security to many households. Further, an added income for farmers will ensure more sustainable farming with food quality improvement.

Goal 3 - Ensure healthy lives and promote well-being for all at all ages: Achieving global health goals faces significant challenges, with progress slowing since 2015 in areas like maternal mortality, premature deaths from major non-communicable diseases, and access to essential healthcare. Improved nutrition brings about better health, reducing malnutrition. With better

access to healthcare, better physical and mental well-being will be ensured for all, especially for mothers and children.

Goal 5 - Gender Equality: Gender parity, especially in women's participation in public life and managerial roles, remains distant. At the current rate, achieving gender parity in managerial positions will take 176 years. Many women still lack control over their sexual and reproductive health, and violence against women persists. With UBI, women working in unpaid labour conditions will be ensured a stable income and financial independence from those that suppress them.

Goal 8 - Decent Work and Economic Growth: In the COVID-19 aftermath, trade tensions and rising debts in developing nations, conflicts, and geopolitical strains collectively threaten global economic growth. While labour markets are resilient, uneven pandemic recovery and the declining protection of labour rights erode social justice prospects. With financial security, people can seek better job opportunities, invest in entrepreneurship, and contribute to a more resilient economy.

Goal 10 and Goal 11 - Reduced inequalities and Sustainable Cities and Communities: With equal base income, UBI will help close gaps between different social and economic groups. This will lead to more stable communities and improved access to housing and other services.

Apart from these, the substitution of social achievements for material consumption can be associated with responsible consumption and production (SDG 12), potentially helping the world achieve its goal of reducing the most adverse effects of climate change (SDG 13). The increased freedom to escape the monetary constructs of society could lead to more innovation (SDG 9). Since the cost of living in the global South is, on average, so much lower than in the global North, the funds necessary to make a

difference may be brought by redistribution, with widespread UBIs across the global South requiring some assistance from the global North (SDG 17).

KEY CONCEPTS

Inflation

Inflation is referred to as the sustained increase in the general price of goods and services. Many social policies aimed at income redistribution have been found to have an impact on the overall inflation rate of economies, and thus, it is an important facet to consider when delving into UBI.

There are usually three kinds of inflation: Demand-Pull inflation, Cost-Push Inflation and Built-In Inflation.

Most economic estimates suggest that UBI has the potential tendency to impact Demand-pull Inflation. Since UBI is a policy with a supposed lack of conditions attached or a potential disregard for the amount of wealth or the employment status of its recipient, the impact it may have on inflation, intuitively speaking, can be enunciated using a simple analogy which is as follows:

If everyone suddenly had an extra \$10K a year, and everyone knew that everyone had an extra \$10K a year, prices would go up, and inflation would either remain the same (at least) or go up, thus negating the perceived gains of UBI.

However, some nuance may be drawn to such arguments linking UBI to inflation by discerning between the real and nominal worlds influencing inflationary potential. That is to say that one can look at this issue in two ways. One is from the prism of the Monetary theory, which, in simple words, posits that inflation is largely a function of an increase in the supply of money, and one of the fundamental features of UBI is that it increases

the supply of money available to spend, as it is less catered to specific needs and is broad-based in nature.

On one hand, researchers may look at this is that if the real income of the recipients of UBI tends to outpace the increase in velocity of money, it may as well have deflationary implications. While it would intuitively make sense that UBI would increase the velocity of money, and rightly so, switching from targeted welfare policies (including the plethora of alternatives utilised) to universal basic income may result in accelerated growth, thereby causing downward pressure on the price level. In that case, price level growth should decelerate.¹³

A large-scale cash transfer program in rural Kenya led to sharp increases in the consumption expenditures of recipient households and extensive broader effects on the local economy, including large revenue gains for local firms (that line up in magnitude with household con. This study and another, studying the Mexican food assistance program “Programa de Apoyo Alimentario”, have suggested that there was less than 1% price inflation on average as a result of the transfers.

Furthermore, a study of the American state of Alaska provides analogous insights on the impact of UBI on inflation. It has had a universal basic income via the Alaska Permanent Fund Dividend, and since implementing that program, Alaska has had lower inflation than the rest of the United States, while before UBI, it was about the same. Although no formal causal study has yet confirmed whether this supports the potential “deflation” effect of UBI, it does provide suggestive evidence that it is possible and that a US-based UBI did not cause significant inflation.

¹³Miller, J. *Universal basic income and inflation: Reviewing theory and evidence*. SSRN.
https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3920748

On the other hand, more commonly a case is made that UBI is a distortionary force to real income, on the other hand, universal basic income would be inflationary. This assertion was supported by a new general study conducted in the Philippines, that found a marginal price increase in certain foods in remote villages that received cash due to a demand effect. There was a strong increase in consumption and firm profits, akin to an aggregate demand increase, with spillover effects and little-to-positive labour hours change. This points out that UBI can indeed have potentially adverse inflationary implications.¹⁴

It is easy to keep in mind that real income is proportional to real growth in the economy, which is great! It is, thus, important to analyse the impact of UBI on real income.

Overall, it can be inferred that the effect of UBI on inflation can be looked at from a faceted manner, with the increase in the velocity of money leading to demand-pull inflation as one, and its impact on the real income of its recipients, which is largely considered a function of growth, having deflationary influence in the long run. The inference drawn would depend largely on country- and region-specific circumstances and a wide range of understandings of an international forum. A varied data-driven analysis would be an important step towards assessing the feasibility of UBI across the world.

Some policy insights that can be drawn regarding UBI:

- Considering a phased adoption of UBI to prevent potential inflationary pressures and fiscal constraints¹⁵¹⁶
- Keeping in mind certain key sectors, that are most prone to inflationary pressures, and coupling ubi schemes, such as housing¹⁷
- Considering progressive taxation or alternative mechanisms like Negative income tax (which will be discussed later)
- Public sector investment in the form of supply-side policies to invest in housing, and infrastructure (which are often deemed to be the domains most affected by UBI)
- Work towards productivity gains, to offset a potential growth constraint on growth
- Proactively deal with systemic labour market challenges for UBI and other schemes to show a positive impact
- Consider exploring various avenues of funding UBI regimes, such as direct taxation, corporate taxation, and the revenue generated by cracking down on tax evasion

Poverty & Inequality

The aftermath of the COVID-19 pandemic consisted of countless lost jobs and de-stabilized economies. Low-income workers and gig economy workers were disproportionately affected by this change in the status quo, as they lacked job security and savings. Marginalised groups and minorities, who had reduced access to

¹⁴Cash transfers, food prices, and nutrition impacts on ineligible children | The Review of Economics and Statistics | MIT Press.
<https://direct.mit.edu/rest/article-abstract/105/2/327/100989/Cash-Transfers-Food-Prices-and-Nutrition-Impacts?redirectedFrom=fulltext>

¹⁵Universal Basic Income proposals in light of ILO standards | <https://www.ilo.org/media/413276/download>

¹⁶Phased Approach Will Make a 'Basic Income' Affordable for India | IIT Delhi
<https://hss.iitd.ac.in/article/phased-approach-will-make-%E2%80%98basic-income%E2%80%99-affordable-india>

¹⁷Universal Basic Income and the City | <https://jainfamilyinstitute.org/wp-content/uploads/pdf/jfi-ubi-and-the-city-2021.pdf>

healthcare and higher rates of unemployment, were hit harder by this.

The most extreme cases of situations like this were seen in countries with welfare systems that were ill-equipped to handle a calamity of such scale. Estimates show that 1.3 billion people, with almost 100 million in India, had to be relocated due to a lack of a social safety net.¹⁸

The pandemic highlighted the fragility of global economic systems and further accentuated the need for the development of more sturdy mechanisms to protect marginalised groups and minorities. In times like these, some believe that a positive impact on social stability would go a long way. Providing UBI provides a social safety net, allowing low-income individuals to cover basic needs such as food, housing, and healthcare. Additionally, by putting money directly into the hands of the consumers, there is a greater incentive for them to stimulate supply and demand and support local businesses that positively impact the economy. UBI can also act as a long-term solution for economic instability, especially with the prospect of artificial intelligence, automation and climate change.

UBI can also be an effective tool to curb poverty, This means people can afford basic commodities like food and shelter, ensuring that material deprivation is reduced. Furthermore, UBI makes it so that there are no bureaucratic hurdles or roadblocks, making it easier for people to get access to support. UBI can also help lift many low-paid workers out of poverty and also provide a safety net for those who lack social security. Furthermore, UBI also plays a part in reducing

equality, as wealth is distributed from the higher end to the lower end of the spectrum.

However, it is important to note that if the UBI payment is too low, the effect would be minimal as it would not be enough to sustain a living. Therefore, it is important that UBI requires a significant amount of funding. Furthermore, it also risks replacing existing welfare systems that are more specific in their design.¹⁹

Effects on the Labour Market and Employment

UBI's potential consequences for the labour market are a key consideration in the debate surrounding its implementation.

Universal Basic Income as a program, with unconditionality coupled with universality and individual distribution, would raise numerous questions about how it might reshape the labour market.

One of the primary concerns surrounding UBI is its potential to disincentive work in the labour market. Critics such as David. H Freedman, W.A Galston, Greenberg & Shroder, and many more mention that if individuals receive a regular, unconditional income, some may choose to work fewer hours or exit the workforce altogether, particularly in low-paying or undesirable jobs.

As The World Bank Group highlighted, the scale of UBI's effect on labour supply is an empirical question with no easy answer, often depending on the size of the UBI relative to prevailing wages and

¹⁸ *Universal basic income is the answer to the inequalities exposed by COVID-19* | World Economic Forum
<https://www.weforum.org/stories/2020/04/covid-19-universal-basic-income-social-inequality/>

¹⁹ Peters, K. (2024b, July 10). *What is Universal Basic Income (UBI), and how does it work?* Investopedia.
[https://www.investopedia.com/terms/b/basic-income.asp#:~:text=Universal%20basic%20income%20\(UBI\)%20is,potentially%20require%20greater%20bureaucratic%20involvement.](https://www.investopedia.com/terms/b/basic-income.asp#:~:text=Universal%20basic%20income%20(UBI)%20is,potentially%20require%20greater%20bureaucratic%20involvement.)

the specific context.²⁰ Whilst evidence on the work disincentive effects of UBI is mixed. Some studies find small or no significant effects on labour supply, while others suggest that UBI can enable people to engage in more productive and less work-focused activities, such as education or caregiving, that are not traditionally counted as "work".²¹ The World Bank Group also notes that UBI could increase labour market flexibility, allowing individuals to take time off for retraining or to search for better-paying jobs rather than fixating on lower-paying jobs at their disposal.²²

UBI could cause a potential shift in the balance of power between employers and employees, leading to changes in wage levels and working conditions. Workers with a guaranteed basic income may have increased bargaining power as they are less reliant on any single employer for their basic needs. This could lead to demands for higher wages, better benefits, and possibly even improved working conditions.

Due to this, the potential consequences could be that businesses with lower profit margins and cash flow may struggle to afford increased labour costs, potentially leading to job losses or automation in small-scale sectors. The World Bank Group acknowledges that the impact on

businesses is a key concern, particularly for sectors with low-wage workers.

Conversely, UBI could impact a new era for entrepreneurship and innovation by providing individuals with a safety net to pursue new business ventures or development of new skills.²³

UBI would be able to provide a cushion for individuals, which would make it easier for them to take risks and pursue entrepreneurial opportunities without the fear of complete financial ruin. This could lead to the creation of newer businesses, products, and services, ultimately boosting economic growth and creating new jobs.

With the future of the labour market being heavily relied upon automation and artificial intelligence, UBI is increasingly discussed as a potential mechanism to mitigate job displacement which might occur in the manual labour sector and ensure economic security in a rapidly changing world.²⁴

UBI could provide a safety net for workers who lose their jobs due to the adaptation to automation, allowing them to retrain or transition to new industries. It could also help address the potential for increased income inequality resulting from automation. UBI also directly

²⁰ Google. *Exploring universal basic income*. Google Books.

[https://books.google.co.in/books?hl=en&lr=&id=ooXEDwAAQBAJ&oi=fnd&pg=PT12&dq=Gentilini%2Bet%2Bal.%2B%282020%29%2BUBI&ots=HcQKVlpQ6m&sig=M2BCKnrstilDgJcAjkTktGJB9o#v=onepage&q=Gentilini%20et%20al.%20\(2020\)%20UBI&f=false](https://books.google.co.in/books?hl=en&lr=&id=ooXEDwAAQBAJ&oi=fnd&pg=PT12&dq=Gentilini%2Bet%2Bal.%2B%282020%29%2BUBI&ots=HcQKVlpQ6m&sig=M2BCKnrstilDgJcAjkTktGJB9o#v=onepage&q=Gentilini%20et%20al.%20(2020)%20UBI&f=false)

²¹ *Exploring Universal Basic Income: a guide to navigating concepts, evidence and practice*

https://www.researchgate.net/publication/337866657_Universal_basic_income_and_work

²² G. Perkins et al., *Analysing the impacts of Universal Basic Income in the changing world of work: Challenges to the psychological contract and a future research agenda*, HRM Journal

<https://onlinelibrary.wiley.com/doi/10.1111/1748-8583.12348>

²³ Nikiforos et al., *Modeling the Macroeconomic Effects of a Universal*, Roosevelt Institute.

<https://rooseveltinstitute.org/wp-content/uploads/2020/07/RI-Macroeconomic-Effects-of-UBI-201708.pdf>

²⁴ *How Universal Basic Income is Revolutionizing Entrepreneurship* - FasterCapital. (n.d.). FasterCapital.

<https://fastercapital.com/content/How-Universal-Basic-Income-is-Revolutionizing-Entrepreneurship.html>

impacts numerous Sustainable Development Goals (SDGs).

The Brookings Institute notes that UBI is "frequently proposed as a way to deal with the potential job losses and rising inequality that may result from automation." The World Bank Group emphasises the need for careful consideration of UBI's design and implementation to ensure that it complements other labour market policies.²⁵

The effectiveness of UBI as a response to automation depends on the level of payment, the availability of retraining programs, and the overall economic climate.

Budgetary Considerations

The implementation of UBI presents a peculiar trade-off between economic feasibility and social welfare. On one hand, UBI would engender a streamlined approach to income redistribution, with little bureaucratic involvement, its funding and sustainability are important prisms through which it must be appraised. The key to achieving a viable UBI would lie in balancing taxation, fiscal efficiency, and the potential impact of such policies on the poor.

The foremost aspect to consider is the means through which funding ought to be carried out. Would the UBI regime rely more on direct or indirect forms of taxation?²⁶

It must be noted that direct taxes are levied on one's income and paid directly to the government. On the other hand, indirect taxes are quite the opposite and given to the government whenever some goods or services are purchased.

On one hand, the increase in indirect taxes could neutralise the benefit to the poor derived from a more generous UBI. Implementing a budget-neutral UBI that does not hurt the poor could be quite challenging.

Efficiency costs and political resistance could make such a policy change a grave matter of contention in most low- and middle-income countries. Of course, the pressure on tax burdens could be eased by lowering the generosity of the UBI transfer. However, this could have a negative impact on the poor. Such a trade-off needs to be carefully assessed before introducing a UBI reform.

Another option would be to resort to other sources of revenue, such as corporate taxes and to crack down on deliberate tax evasion schemes.

Cracking down on evasion schemes is not impossible, but it usually requires unwavering political will. Moreover, an important aspect often overlooked is that the burden of higher statutory corporate taxes or better enforcement schemes may fall on wage earners and/or consumers, including low-income ones. Who ultimately pays for the higher tax collection depends on the extent to which corporations are able to shift the higher taxes forward, which in turn depends on demand and supply characteristics in labour and product markets. This may be manifested in the form of cost-push inflation for the most vulnerable (demand-pull was discussed previously).

It has also been observed that the negative effects on poor people's post-fiscal income from switching to a UBI could be tempered if the funds available for such a change go beyond current spending on cash transfers and price subsidies. If the goal for the policy change to be budget neutral

²⁵Mogstad, M., & Kearney, M. S. (2019, August 30). *Universal basic income as a policy response to current challenges*. Brookings. <https://www.brookings.edu/articles/universal-basic-income-as-a-policy-response-to-current-challenges/>

²⁶N Lustig, *Universal Basic Income, Taxes, and the Poor*, LSE Public Policy Review. <https://ppr.lse.ac.uk/articles/10.31389/lseppr.67>

was maintained, however, this increase in spending would need to be matched by increased taxes or reductions in spending on other categories.

Usually, the main argument for UBI is that, unlike targeted transfers, it provides an income floor, avoids the risk of exclusion errors, eliminates stigma, is administratively simple, and is politically appealing because potentially everyone could receive a net benefit.

Efficiency costs and political resistance could make such a policy change rather challenging to implement in most low- and middle-income countries. Of course, the pressure on tax burdens could be eased by lowering the generosity of the UBI transfer. However, this would hurt the poor. Such a trade-off needs to be carefully assessed before introducing a UBI reform.

Furthermore, it has been found that the informality of a country's labour market (the percentage of people supposedly self-employed) poses unique financial challenges in implementing UBI. In particular, the sizable informal sector in many economies diminishes their tax capacity, casting doubt on the feasibility of financing.²⁷

A special category of countries worth analysing is those developing countries that have a large informal sector. These most notably include India, Nigeria, Indonesia, Bangladesh, etc.

In such countries, Financing UBI solely through labour taxes proves infeasible. This is primarily because such taxes are borne exclusively by

formal sector workers, and their response renders this financing method unviable. In the long run, increasing indirect taxation may prove to be the most likely policy decision taken by their government.

Furthermore, it has been found that the informality of a country's labour market (the percentage of people supposedly self-employed) poses unique financial challenges in implementing UBI. In particular, the sizable informal sector in many economies diminishes their tax capacity, casting doubt on the feasibility of financing.²⁸

Governments could create more fiscal space by introducing changes on the spending side, such as cutting spending elsewhere or making government spending more efficient. Governments have a margin to improve the efficiency of their spending, cut wasteful spending, and crack down on corruption.²⁹

Thus, the main argument in favour of UBI has been based on the fact that it would prove to be quite an efficient means of redistribution of income, with little involvement of bureaucracies. But the trade-off posed is that it would also cost much more than many of the targeted means-tested policies.

CASE STUDIES

Iran

In 2010, Iran took its first leap into experimenting with establishing UBI by introducing a quasi-UBI program called Targeted Subsidy Reform. The

²⁷Ksingh, *UBI Financing and Its Long-Term Impacts in Economies with a Large Informal Sector*, World Bank
<https://blogs.worldbank.org/en/impac evaluations/ubi-financing-and-its-long-term-impacts-economies-large-informal-sector-guest>

²⁸Gentilini et al., *Universal Basic Income Programs: How Much Would Taxes Need to Rise?*, Taylor & Francis
<https://www.tandfonline.com/doi/full/10.1080/00220388.2023.2199566>

²⁹M. Tanner, *The pros and cons of GNI*, Cato Institute.
<https://www.cato.org/sites/cato.org/files/pubs/pdf/pa773.pdf>

government of Iran introduced an unconditional universal transfer holding UBI features by holding all its citizens eligible to receive a monthly cash transfer. The cash acted as compensation to the citizens for the surge in price caused by subsidy removals and attempted to replace these subsidies with cash transfers to households. For the first two years, approximately 445,000 rials (USD 45) were transferred to each person. For many large and poor families, the transfers doubled incomes and brought per capita income above the US\$2 per capita threshold.

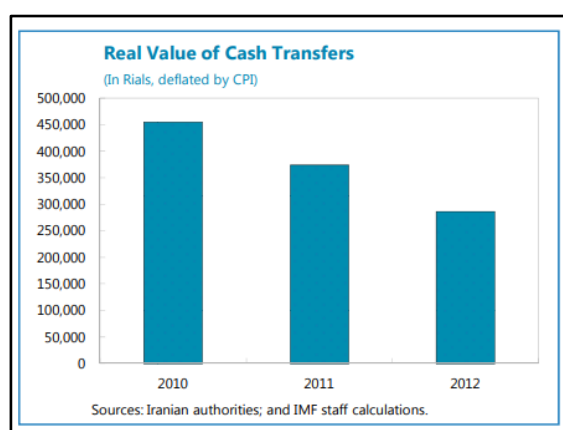
Within the first year of this policy, Iranian households received a total of USD 30 Billion in cash. As a result, inequality dropped, with the Gini index of Iran dropping from 0.39 to 0.36 in the first two years. Poverty decreased from 4.3% to 2.5%.

For Iran's women labour force, the policy acted as a safeguard, boosting their economic engagement and bargaining strength. Nevertheless, the programme recognises the oldest male as the head of the household, who, as such, receives the transfer for all members, a deviation from typical UBI features.

In mid-2012, following the deterioration in economic conditions and growing difficulties in implementation, the second phase of the reform was postponed. The TSR faced cash-flow imbalances as a large share of the revenues expected from energy price increases failed to materialise, and such revenues fell short of committed cash transfers to households.³⁰

Targeted Subsidy Organization Balance (In percent of GDP)			
	2010/11	2011/12	2012/13
Revenues	0.8	4.8	4.5
Price increases	0.8	4.8	4.5
Expenditures	2.7	6.4	6.1
Cash transfers	2.6	6.4	6.1
Assistance to Social Security and Health	0.0	0.0	-
Deficit	-1.8	-1.6	-1.6
Source: Targeted Subsidy Organization and staff calculations			

Source: IMF



Source: IMF

The TSR had some initial positive outcomes, but many proved short-lived. In recent years, the program has been unable to keep up with the rise in poverty that is brought by accumulated sanctions, resulting in significant inflation. These challenges pose obstacles to the program's long-term sustainability.

Kenya

International NGO GiveDirectly has been instrumental in the UBI program in Kenya. Researchers were tasked to evaluate UBI based on economic outcomes. About 300 villages and

³⁰Demirkol, O., Blotvogel, R., Zyteck, R., Zimand, P., Liu, Y., & International Monetary Fund. (2014). TARGETED SUBSIDY REFORM IN IRAN.

<https://www.imf.org/external/pubs/ft/scr/2014/cr1494.pdf>

14500 were randomly assigned to four groups, namely;

The comparison group did not get any payments. This would be the control group. The second group, the Long Term UBI group, had an income of \$0.75 per day for 12 years, whereas the third group, called the Short Term UBI group, got the same amount of money but for two years only. The Lump Sum Group was the final group and was paid \$500 as a one-time payment instead of getting paid in instalments.³¹

Results showed that the Lump Sum group did better in almost every financial metric than the short and long-term UBI groups. The conclusive theory that explains this states that the money given to the individual was used as capital to start new businesses and farms, something the Long and Short-term UBI recipients had to save up for. Interestingly, the long-term ubi recipients had results that were similar to the lump sum group, which researchers attributed to the use of rotating savings and credit associations (ROSCAs), which is commonly practised in small communities found in the developing world. This practice consists of members paying small amounts for the right to withdraw a larger amount every so often.³²

Brazil

Brazil has a long history of various social programs which were aimed at reducing poverty and inequality, with discussions about UBI that date back several decades.

While a true, unconditional UBI has not been fully implemented nationwide, several programs and proposals have incorporated elements of UBI partially, which can be cited as a reflection of the commitment taken by the government to explore innovative and viable approaches to social protection.

Bolsa Família program stands out as the most well-known example of a state-led welfare program launched in 2003. Low-income families received conditional cash benefits through *Bolsa Família* when they fulfilled educational and healthcare obligations (health check-ups as well as school attendance). Through its implementation, *Bolsa Família* demonstrated the practicality of direct cash transfer programs when combined with specific requirements, which allowed the system to benefit numerous individuals.

Presently, the *Bolsa Família* Program provides a benefit to all families in Brazil with an income per capita of up to R\$ 218 per month. The family must register in the Single Register Survey, providing the income of each member 3 of the family. The *Bolsa Família* today pays R\$ 600 per month for the family, plus R\$ 150 per each child from 0 to 6 years of age, plus R\$ 50,00 per month per child of age between 7 and 12 years of age, and per adolescent of age between 12 and incomplete 18 years, plus R\$ 50,00 per month if the mother is pregnant.³³ The government implemented *Auxílio Emergencial* as an emergency basic income program throughout 2020 when Brazil experienced the COVID-19 pandemic. The emergency basic income program known as *Auxílio Emergencial* delivered

³¹ *The effects of a universal basic income in Kenya* | IPA. (n.d.). <https://poverty-action.org/effects-universal-basic-income-kenya>

³² Matthews, D. (2023, December 1). *The first results from the world's biggest basic income experiment*. Vox. <https://www.vox.com/future-perfect/2023/12/1/23981194/givedirectly-basic-income-experiment-abhijit-banerjee-tavneet-suri>

³³ De Siqueira, R. B., & Nogueira, J. R. B. (2023). A UNIVERSAL BASIC INCOME FOR BRAZIL: FISCAL AND DISTRIBUTIONAL EFFECTS OF ALTERNATIVE SCHEMES. *Revista De Economia Contemporânea*, 27. <https://www.scielo.br/rj/rec/a/YLNttKTQcDZhQXK3phWqmKK/>

short-term financial aid to unpaid workers as well as people in socially vulnerable positions who missed out on existing social protection in Brazil. The program served as an urgent intervention to relieve the economic pressures facing most citizens, according to "Basic Income Guarantee and the Pandemic: Learning from the Brazilian Experience". During the time of crisis, the program extended essential financial support to millions of Brazilian citizens.

³⁴In recent years, discussions on the introduction of a UBI in Brazil have picked up steam on the national and local levels (Steps of Brazil towards the Universal Basic Income). Some proposals have proposed gradually growing the existing social programs into something akin to a UBI, whilst others have been less gentle about the need for a total remake of the social safety net. According to the "steps of Brazil towards the UBI", more than 60 pilots were proposed and launched between 2016 and 2021 – and still, many of them were criticised as insufficient or even out of reach.

The funding to implement a UBI in Brazil is one of its most important challenges. However, considering Brazil's fiscal constraints and high debt ratio of the public debt, it would be necessary to identify sustainable sources of revenue for the financing of a UBI program. Potential funding mechanisms which have been discussed are tax reforms, spending reductions by the government, and rechanneling these resources from already available social programs.

However, the debate on UBI in Brazil shows the advance of the discussion on the need for better and more equitable social protection policies. The Review of Economics study and the statistics decided that not all poverty reduction efforts are

done through conditional cash transfer programmes, such as the Bolsa Familia. As such, a non-conditional cash transfer (such as UBI) may be a better option to address basic needs in a vulnerable population.

NIT

Negative Income Tax (NIT) is a progressive income tax system which was proposed by economist Milton Friedman, wherein the people who earn below a stipulated amount will be rewarded by paying money by the government rather than having to pay taxes themselves. It is proposed to be a simpler and more efficient way of having a safety net than existing welfare programs.

Negative Income Tax (NIT) is characterised as relying exclusively on income to determine eligibility and payment amounts. The program is open and available only to those based on financial need. The design was easy to implement by seamlessly fitting into the existing tax system. The NIT directly supplements the income of the working poor and serves as a safety net for the (economically disadvantaged segments) low-income population when they struggle to make ends meet.

The Negative Income Tax has established rules that have set structured levels. The income threshold sets the level above which the individuals are considered not in need of financial support, this threshold is controlled and handled by the government. Below this threshold, those who are earning receive a 'negative tax', which is a direct payment from the government adding to their income.

³⁴Suplicy, E. M. (2024). *Steps of Brazil towards the Universal Basic Income*. In *Lecture to the 23rd International Congress of BIEN – Basic Income Earth Congress* [Lecture]

<https://basicincome.org/wp-content/uploads/2024/09/Steps-of-Brazil-towards-the-Universal-Basic-Income-Reviewed-by-Eduardo-in-August-18-2024-8-15-pm.pdf>

This negative tax payment decreases, gradually, in a fixed percentage set as the benefit reduction rate as the income increases so that people are incentivised to always create or seek employment.

The system also contains a break-even point above the poverty line at which the negative tax benefit is completely phased out, and individuals will begin paying standard income taxes.

Milton Friedman suggested the Negative Income Tax in his book *Capitalism and Freedom* (1962). The idea was encouraged in the 1960s and 1970s, with several NIT experiments being conducted in the United States. NIT, although not being implemented on a large scale, has influenced the design of EITC, which has been implemented in the United States.³⁵

QUESTIONS A RESOLUTION MUST ANSWER

Finally, it must be noted that the viability of UBI depends greatly on the country where it is implemented. Some useful questions that can be asked when one is to determine its feasibility are as follows:

1. What are the most viable and sustainable funding mechanisms for UBI, considering potential impacts on taxation, government debt, and overall fiscal stability?
2. What is its opportunity cost compared to other potential policies that could have been implemented?
3. What are the key logistical and administrative challenges associated with implementing UBI on a large scale, and how can they be overcome?
4. What measures can be implemented to mitigate the risk of inflation resulting from increased consumer demand driven by UBI?
5. How can UBI models be adapted to different country contexts, considering variations in economic conditions, social welfare systems, and cultural norms?

³⁵Kagan, J. (2024, July 31). *Negative Income Tax (NIT): What it is, How it Works*. Investopedia
<https://www.investopedia.com/terms/n/negativeincometax.asp>